

The Walt Disney Company (DIS)

Q3 FY25 Earnings Review - DTC profit scaled, Experiences delivered, and FY25 guidance moved higher

Rating	12-mo price target	FY25 adj. EPS guide	Data cutoff
Outperform	\$125	\$5.85	Aug. 6, 2025 earnings release

Investment view

We remain constructive on DIS after Q3 FY25. This was not a top-line acceleration quarter - revenue rose only 2% - but profitability and cash conversion improved: total segment operating income rose 8% to \$4.6bn, adjusted EPS rose 16% to \$1.61, cash provided by operations increased 41%, and free cash flow increased 53%. The key investor signal is that DTC profitability is now material, Experiences is improving in domestic parks and cruise, and management raised FY25 adjusted EPS guidance to \$5.85.

The main offsets are also clear: Entertainment segment operating income declined because Content Sales/Licensing and Linear Networks fell; domestic ESPN operating income declined on sports rights inflation; and reported cash flow continues to benefit from tax deferrals. This note uses only information available in the Q3 FY25 release and excludes current market price, market capitalization, and implied upside calculations.

Key takeaways

- Earnings quality was better than the revenue growth rate: Q3 revenue rose 2% to \$23.7bn, while segment operating income rose 8% to \$4.6bn and adjusted EPS rose 16% to \$1.61.
- DTC profitability is becoming repeatable: Entertainment DTC operating income improved \$365mm year over year to \$346mm, with Disney+ subscribers increasing 1.8mm sequentially to 127.8mm.
- Experiences was the cleanest operating positive: revenue rose 8% and operating income rose 13%, led by 22% domestic Parks & Experiences operating income growth.
- Sports headline operating income rose 29%, but the cleaner read is more mixed: domestic ESPN operating income declined 7% due to NBA and college sports rights cost step-ups.
- Management raised FY25 adjusted EPS guidance to \$5.85, or 18% growth over FY24, and guided to \$1.3bn of Entertainment DTC operating income.

Bottom line

We rate DIS Outperform with an illustrative \$125 12-month price target. The target is derived from an analyst-style framework that applies roughly 19x to an illustrative FY26E adjusted EPS assumption of approximately \$6.55. This valuation framing is based on company-released Q3 FY25 information and our assumptions; it does not use any current stock price or post-release market data.

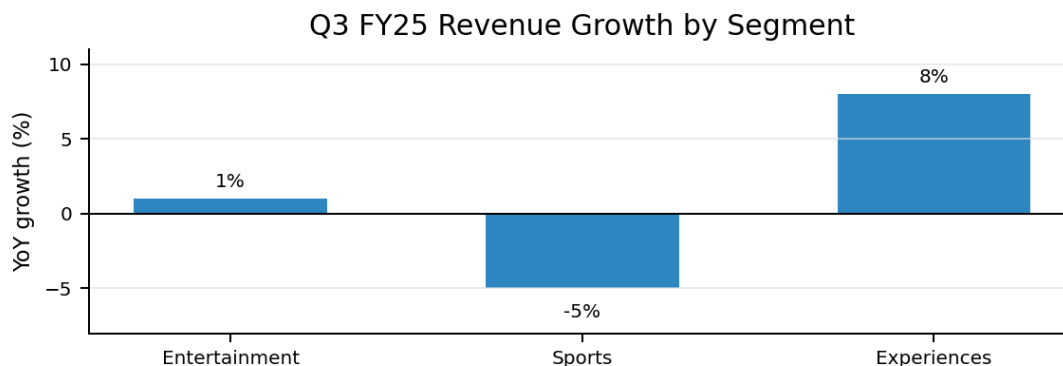
Quarterly scorecard

Q3 FY25 was a guidance-raise quarter with modest revenue growth but stronger profit conversion. The best operating lenses are adjusted EPS and segment operating income, because GAAP EPS was heavily affected by Hulu tax and transaction impacts.

Metric	Q3 FY25	Q3 FY24	YoY
Revenue	\$23.7bn	\$23.2bn	2%
Income before taxes	\$3.2bn	\$3.1bn	4%
Segment operating income	\$4.6bn	\$4.2bn	8%
Diluted EPS	\$2.92	\$1.43	>100%
Adjusted EPS	\$1.61	\$1.39	16%
Cash provided by operations	\$3.7bn	\$2.6bn	41%
Free cash flow	\$1.9bn	\$1.2bn	53%

What mattered most

- The guide raise matters: management moved FY25 adjusted EPS guidance to \$5.85, representing 18% growth over FY24.
- DTC was the clearest profit signal: DTC operating income reached \$346mm in Q3 and \$975mm for the first nine months of FY25.
- Q4 subscriber guidance introduced a new distribution catalyst: total Disney+ and Hulu subscriptions are expected to increase by more than 10mm sequentially, mainly from Hulu through an expanded Charter deal.
- The segment mix is not uniformly bullish: Entertainment OI fell 15%, but Sports and Experiences grew 29% and 13%, respectively.

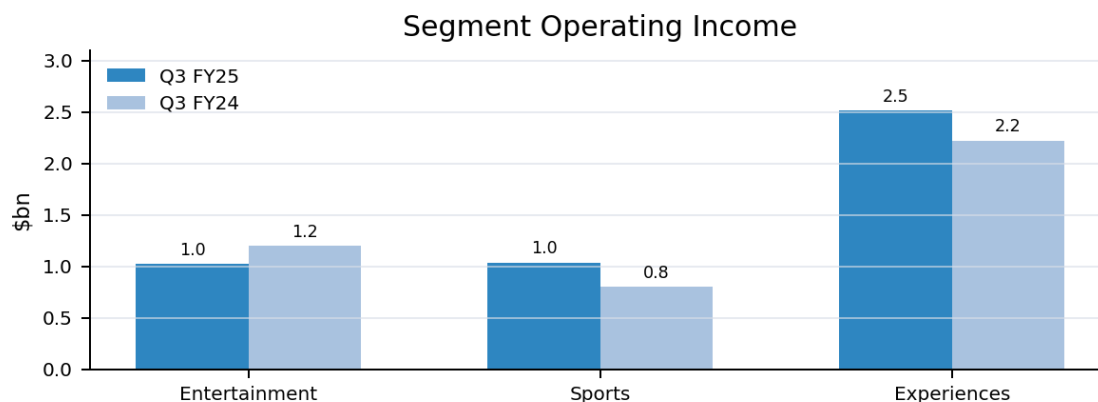


Source: Company Q3 FY25 earnings release, summarized financial and segment results.

Segment snapshot

The segment setup was constructive but uneven. Experiences and Sports drove the profit increase, while Entertainment was pressured by linear declines and a studio comparison against Inside Out 2 in the prior-year quarter.

Segment	Q3 revenue	Revenue YoY	Q3 op. income	Op. income YoY	Analyst read-through
Entertainment	\$10.7bn	1%	\$1.0bn	(15%)	DTC profit scaled; linear and studio/content comp pressured segment profit.
Sports	\$4.3bn	(5%)	\$1.0bn	29%	Reported growth helped by Star India comp; domestic ESPN rights costs still pressure margins.
Experiences	\$9.1bn	8%	\$2.5bn	13%	Domestic parks and cruise strength; international parks slightly softer.



Segment implications

- Entertainment is now a two-speed business: DTC is improving, but linear decline and theatrical/content volatility can still overwhelm segment-level progress in a given quarter.
- Sports remains strategically important but volatile. Reported segment OI growth overstates the underlying domestic ESPN trend because the prior-year Star India loss was removed from consolidated results.
- Experiences continues to validate the IP flywheel, with domestic parks, resorts, and Disney Cruise Line offsetting elevated investment and pre-opening costs.

Deep dive: Entertainment and DTC

Entertainment declined at the segment operating income level, but the DTC line was materially better. The quarter shows why investors should separate streaming profitability from linear network pressure and studio release-cycle volatility.

DTC / streaming metrics	Q3 FY25	Prior period / Q3 FY24	Change
DTC revenue	\$6.2bn	\$5.8bn	6% YoY
DTC operating income	\$346mm	\$(19)mm	+\$365mm YoY
Disney+ subscribers	127.8mm	126.0mm	1% q/q
Hulu subscribers	55.5mm	54.7mm	1% q/q
Disney+ ARPU	\$7.86	\$7.77	1% q/q
Hulu SVOD ARPU	\$12.40	\$12.36	Flat q/q
Content Sales/Licensing OI	\$(21)mm	\$254mm	Down YoY

DTC profit bridge is improving

- Subscription revenue growth was driven by higher effective rates, subscriber growth, and the absence of Star India subscription revenue following the joint venture transaction, partly offset by foreign exchange.
- Programming and production costs declined versus the prior-year quarter due to the comparison to ICC programming on Disney+ Hotstar, though content hours and bundle-related license fees increased.
- Advertising revenue declined due to lower rates and the ICC comparison, partly offset by more impressions.

Studio/content volatility remains the main Entertainment swing factor

Content Sales/Licensing and Other revenue rose 7% to \$2.3bn, but operating income moved to a \$21mm loss from \$254mm of income. The current quarter included Elio, Thunderbolts*, and Lilo & Stitch, while the prior-year quarter included Inside Out 2. Higher film cost impairments also weighed on results.

Linear Networks: pressure continues

Linear Networks operating income declined 28% to \$697mm. Domestic linear OI declined 14% on lower advertising revenue and affiliate pressure, while international OI declined 92% largely due to the Star India transaction.

Deep dive: Sports and Experiences

Sports and Experiences both matter to the Disney thesis, but they sent different quality-of-earnings signals in Q3. Experiences delivered broad operating growth, while Sports benefited from the Star India comparison even as domestic ESPN margins were pressured.

Metric	Q3 FY25	Q3 FY24 / prior	Change / read-through
Sports revenue	\$4.3bn	\$4.6bn	(5%) YoY
Sports operating income	\$1.0bn	\$0.8bn	29% YoY
Domestic ESPN operating income	\$1.0bn	\$1.1bn	(7%) YoY
ESPN+ subscribers	24.1mm	24.1mm	Flat q/q
ESPN+ ARPU	\$6.40	\$6.58	(3%) q/q
Experiences revenue	\$9.1bn	\$8.4bn	8% YoY
Experiences operating income	\$2.5bn	\$2.2bn	13% YoY
Domestic Parks & Experiences OI	\$1.7bn	\$1.3bn	22% YoY

Sports: strategic asset, cost pressure persists

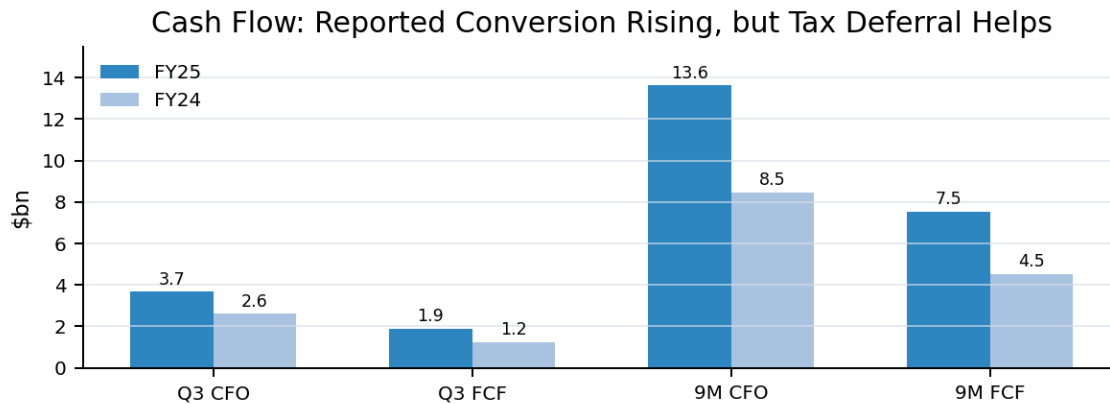
- The 29% Sports operating income increase mostly reflects the absence of a \$314mm Star India loss from the prior-year quarter.
- Domestic ESPN operating income declined 7%, driven primarily by higher NBA and college sports rights costs from contractual rate increases.
- Domestic advertising revenue grew 3%, but ESPN+ ARPU declined 3% sequentially due to lower advertising revenue.

Experiences: domestic strength offsets investment cost

- Domestic Parks & Experiences operating income grew 22% to \$1.7bn, reflecting higher guest spending, higher passenger cruise days, and higher occupied room nights.
- The quarter included an estimated \$40mm benefit from Easter timing and roughly \$30mm of Disney Cruise Line pre-opening expenses.
- International Parks & Experiences operating income declined 3%, but the overall Experiences segment still delivered 13% operating income growth.

Cash flow, balance sheet, and valuation framing

Reported cash flow strengthened again in Q3, but the quality of conversion should be normalized for tax deferral effects. At the same time, capex remains structurally elevated as Disney invests in cruise fleet expansion and Experiences capacity.



Cash / balance sheet item	Q3 / 9M FY25	Comment
Q3 cash provided by operations	\$3.7bn	+41% YoY
Q3 free cash flow	\$1.9bn	+53% YoY
9M cash provided by operations	\$13.6bn	+61% YoY; tax deferral benefit
9M free cash flow	\$7.5bn	+66% YoY
9M capex	\$6.1bn	Up \$2.2bn; cruise fleet expansion
Cash & equivalents	\$5.4bn	At June 28, 2025
Total borrowings	\$42.3bn	Current + long-term borrowings
Share repurchases	\$2.5bn 9M	Capital return continued through Q3

Valuation framing

The illustrative \$125 price target applies approximately 19x to an FY26E adjusted EPS assumption of about \$6.55. The multiple is intended to reflect improving DTC profitability, durable Experiences growth, and a cleaner capital return profile, partly offset by sports rights cost inflation, linear network pressure, and elevated capex. No current stock price, market cap, or implied upside is shown.

Outlook, catalysts, and risks

Management commentary was constructive for the balance of FY25. The company raised adjusted EPS guidance, set a specific DTC operating income target, and pointed to large Q4 subscription gains tied primarily to Hulu distribution.

Catalyst / debate	Why it matters
FY25 adjusted EPS target of \$5.85	Creates a more tangible earnings anchor and implies 18% growth over FY24.
Entertainment DTC operating income target of \$1.3bn	Signals that streaming profitability is becoming a core earnings driver rather than a one-off quarter.
Q4 total Disney+ and Hulu subs +10mm+	Expanded Charter deal could broaden distribution, though mix and ARPU quality need monitoring.
ESPN DTC launch and NFL plans	Strategic catalyst for sports distribution, but economics depend on pricing, churn, and rights costs.
Experiences expansion / cruise capacity	Supports long-term growth but requires execution and raises near-term capex/pre-opening expenses.
India JV loss outlook of ~\$200mm	Improved from the prior outlook and remains primarily purchase-accounting driven.

Key risks

- Macro and consumer risk: parks, cruises, advertising, and theatrical performance remain sensitive to discretionary spending.
- Sports rights inflation: NBA and college sports rights costs can pressure ESPN margins during the DTC transition.
- Streaming churn and ARPU: pricing supports revenue, but subscriber additions from distribution deals need durable engagement and monetization.
- Studio volatility: one strong title can materially affect quarterly Content Sales/Licensing profitability, as the Inside Out 2 comparison shows.
- Cash flow normalization: reported operating cash flow benefits from tax deferrals that may reverse or normalize in later periods.

Conclusion

Q3 FY25 strengthened the Disney turnaround thesis: DTC profits scaled, Experiences remained durable, Sports improved on a reported basis, and management raised full-year EPS guidance. The quarter was not without blemishes - Entertainment segment OI declined, domestic ESPN margin pressure persisted, and cash flow quality requires tax-deferral normalization - but the earnings recovery remains broad enough to support an Outperform rating in this analyst-style framework.

Important note: This illustrative analyst-style research note is prepared only from information available in the Q3 FY25 earnings release dated August 6, 2025. It intentionally excludes current market price, market capitalization, implied upside, and post-release market data. It is not personalized investment advice.